



MBA 601
ACCOUNTING & FINANCE

Submitted to:

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Financial Statement Analysis of
Tata Consultancy Services



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Profitability Ratios

- The company's sales stagnated & profits dipped in FY20. This could be because of the major economic slowdown due to the COVID-19 pandemic.
- However, the company showed strong growth in revenue and net profits throughout 2020-2024, indicating a quick and efficient recovery from the pandemic.

Margins

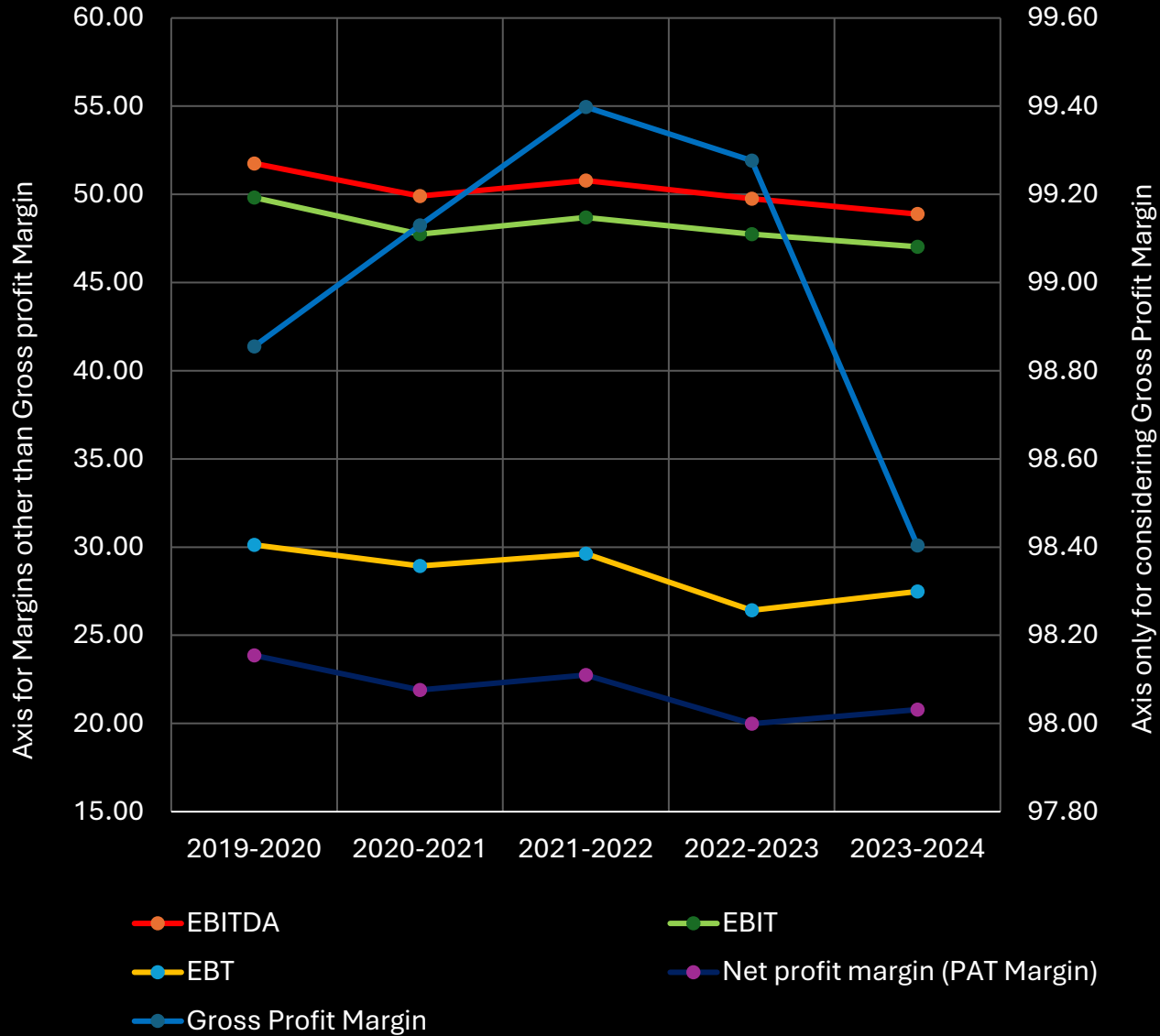
- **Profitability margin ratios measure the company's ability to generate profits from sales. These ratios show how efficient the company is at turning the sales into profits.**
- **Gross Profit Margin :** It shows a constant trend with nearly no fluctuations, as TCS, being an IT company, has no manufacturing costs, and its operating expenses are almost negligible compared to its sales. This results in a gross profit margin of **more than 98%**.
- **EBITDA Margin:** It has been decreasing compared to the gross profit margin, indicating an increase in SG&A expenses, consistent with the Profit and Loss statement and news reporting a sharp rise in employee benefit costs over the last five years.
- **EBIT Margin:** Between FY22 and FY23, the **EBIT margin** remained nearly constant, while the EBT margin saw a sharp decline, suggesting an increase in interest payments by the company.
- The rising debt-to-equity ratio in recent years confirms this, as the company's debt increased over the previous two years, leading to higher interest payments.

Returns

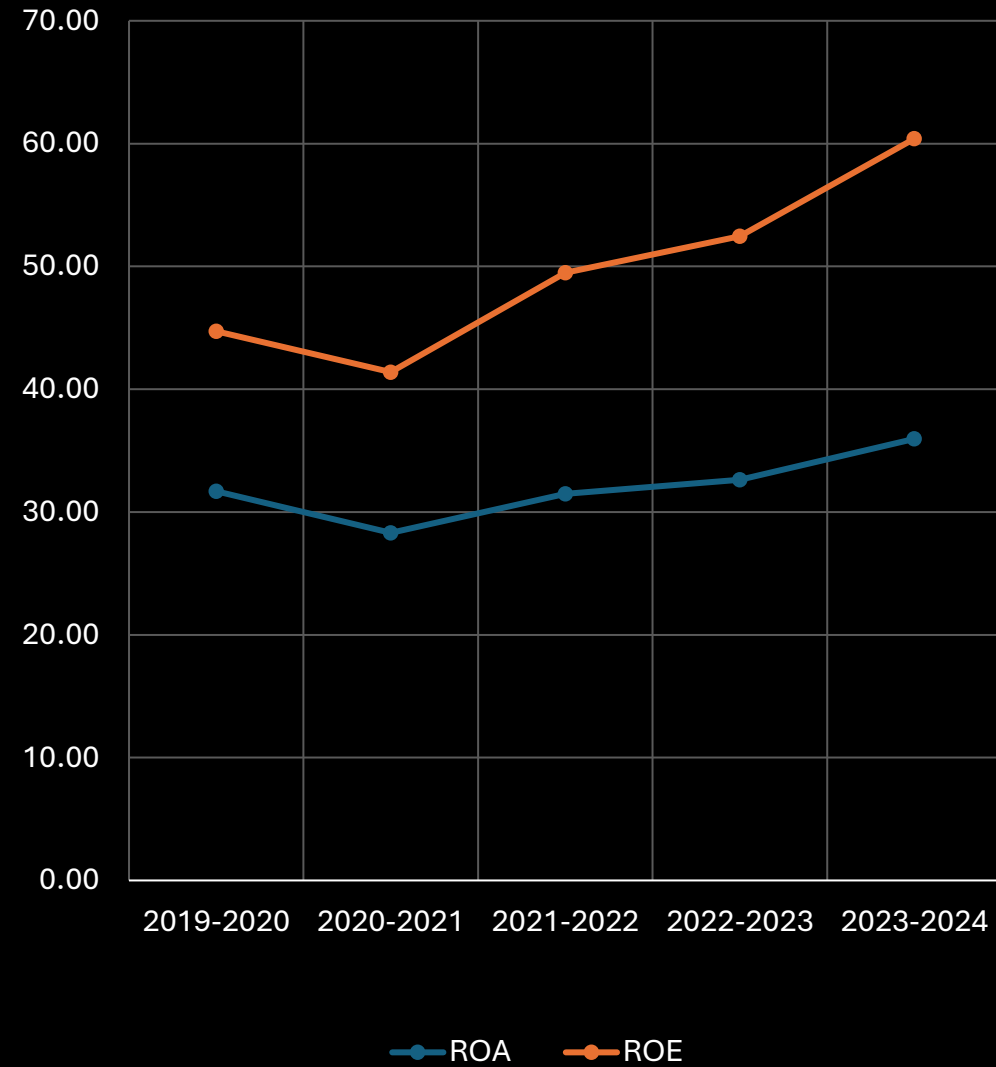
- **Return On Equity (ROE) : ROE is a metric that reveals how much profit the company makes per rupee of its total equity.**
- Return on equity (ROE) fell slightly in FY20, possibly due to the slowdown caused by the COVID-19 pandemic.
- However, ROE rapidly increased in the following years, coinciding with a steady rise in the debt-to-equity ratio, which might indicate ROE inflation using debt.
- **Return On Assets (ROA) : ROA is the profit made per rupee of investment into total assets.**
- Along with a rapid increase in ROE, return on assets (ROA) also steadily increased during this period.
- Since ROA is unaffected by the leverage, we can conclude that the growth in ROE was actual growth and not inflated by the debt.
- This indicates that the company is profiting from its assets and equity and utilizing them efficiently.

Profitability Ratios (Contd.)

Margins



Returns

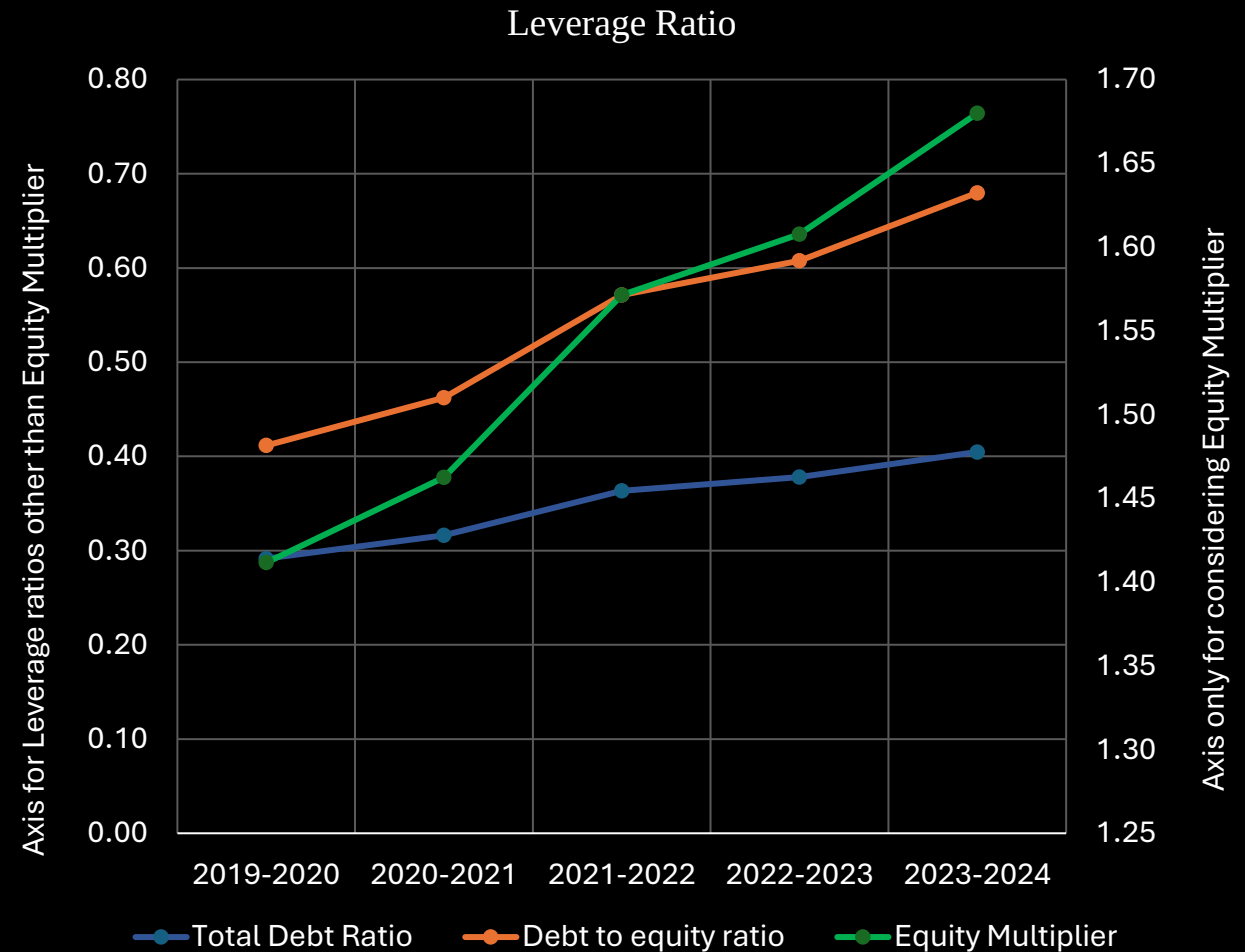


Solvency Ratios

Solvency Ratios: It shows the ability of the company to pay its long-term debt comfortably.

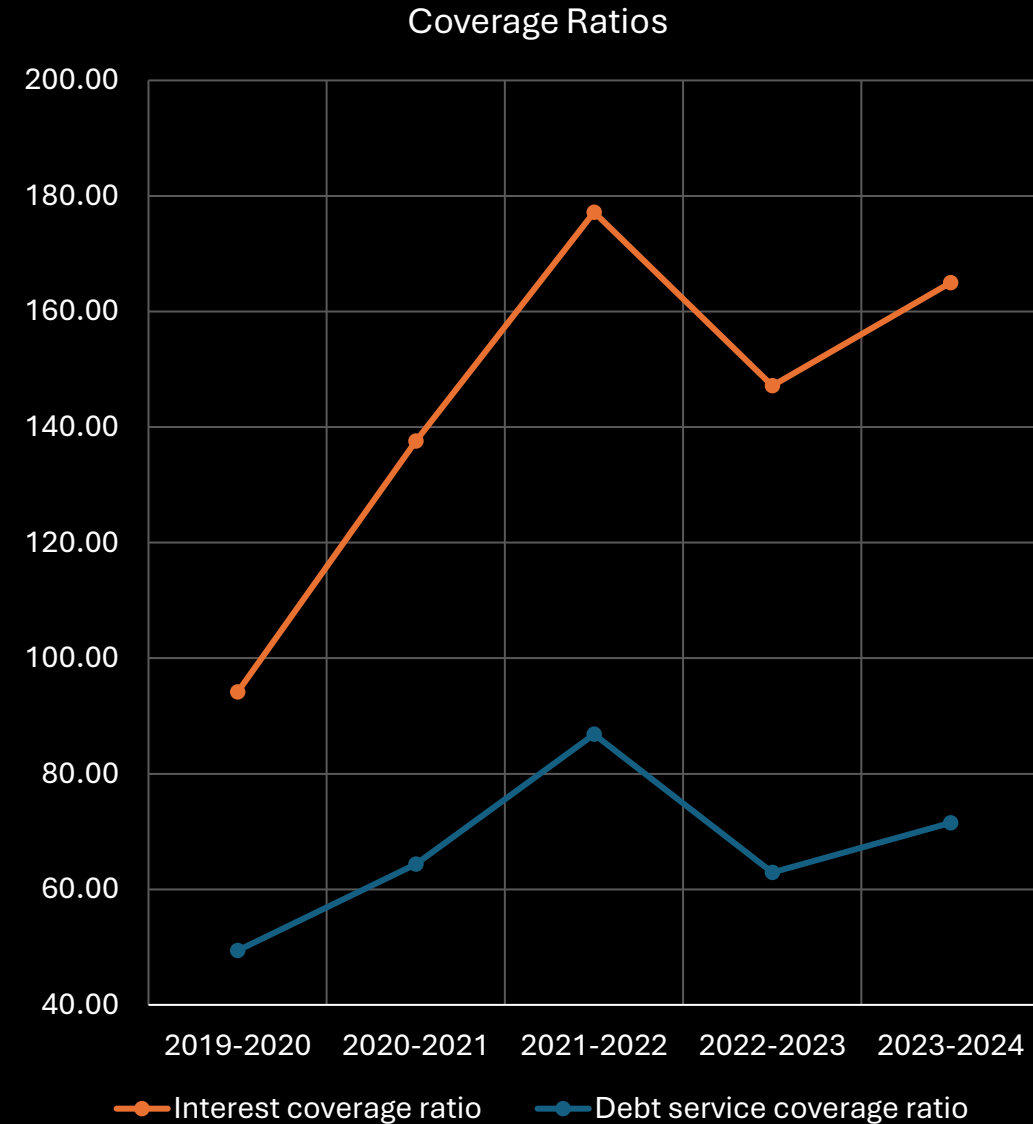
Leverage Ratios

- **Leverage ratios measure the ratio of debt and equity in the capital structure**
- A quick look at the rising **Debt-To-Equity ratio**, **Total Debt ratio**, and **Equity Multiplier** trends reveals that the company has been taking on increasing debts over the past five years.
- This increase in debt impacted EBT margins in FY22-23; however, due to efficient debt management, EBT margins improved in FY24.
- The trend indicates that the company has leveraged its debt effectively and is consistently repaying it.



Coverage Ratios

- **Coverage Ratios measure the ability of a firm to service its debt obligations.**
- **The Interest Coverage Ratio (ICR): It measures how easily a company can pay interest on its outstanding debt from its earnings.**
- The Interest Coverage Ratio (ICR) remained comfortably high throughout the period, although a significant decline was observed in FY22-23.
- This decline indicates either a decrease in earnings (EBIT) or an increase in interest payments, with EBIT margin patterns and debt-to-equity trends confirming both possibilities.
- **Debt Service Coverage Ratio (DSCR) : It reveals how comfortably the company can use its current assets that are most easily convertible into cash to pay off its current liabilities.**
- Similarly, the Debt Service Coverage Ratio (DSCR) remained high but also fell in FY22-23 for the same reasons as ICR.
- These trends suggests that the company efficiently manages its debt despite the decrease in EBIT and rising interest



Liquidity Ratios

Liquidity Ratios: These show the ability of the company to comfortably pay off its short-term debt using its current assets.

Current Ratio:

- The **current ratio** remained well above 1.00 over the five years, though it declined significantly from 3.30 in FY20 to 2.20 in FY24.
- This decline could suggest a decrease in current assets or an increase in current liabilities, with the sharply rising debt-to-equity ratio confirming the latter.
- A closer inspection of the balance sheet shows that current liabilities nearly doubled from 2020 to 2024, while current assets increased by only about 20%, leading to the decline in the current ratio.

Quick Ratio:

- The **quick ratio** was visibly lower than the current ratio until FY22, after which it nearly matched the current ratio.
- This shift suggests that the company significantly reduced its prepaid expenses and short-term loans to other companies after FY22, as supported by balance sheet data

Cash Ratio:

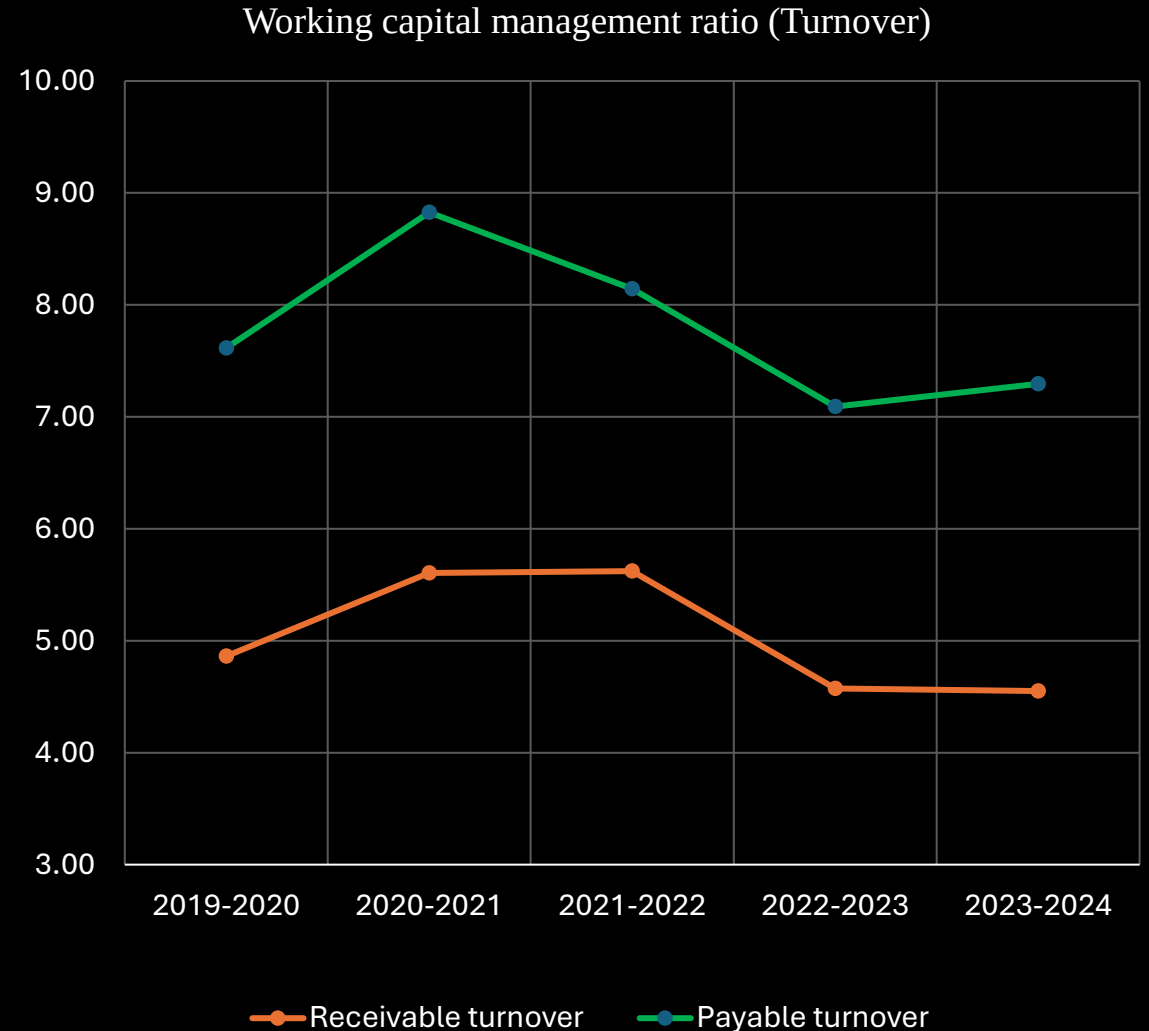
- The **cash ratio** remained relatively stable at around 0.1-0.2, with a sharp increase to 0.36 in FY22.
- This stable cash ratio indicates that the company efficiently utilized its cash without keeping excessive idle funds.
- The spike in the cash ratio in FY22 suggests that TCS may have made major acquisitions during this period, as supported by news reports.

Liquidity Ratios (Contd.)



Working Capital Management Ratios

- Receivables turnover and payables turnover measure the annual frequency of conversion of receivables to received cash and payables to paid cash, respectively.
- Receivables and Payables Turnover showed similar trends; they increased and decreased together throughout the period. This indicates that the company adapts well to the market conditions and maintains a healthy balance between receivables and payables.



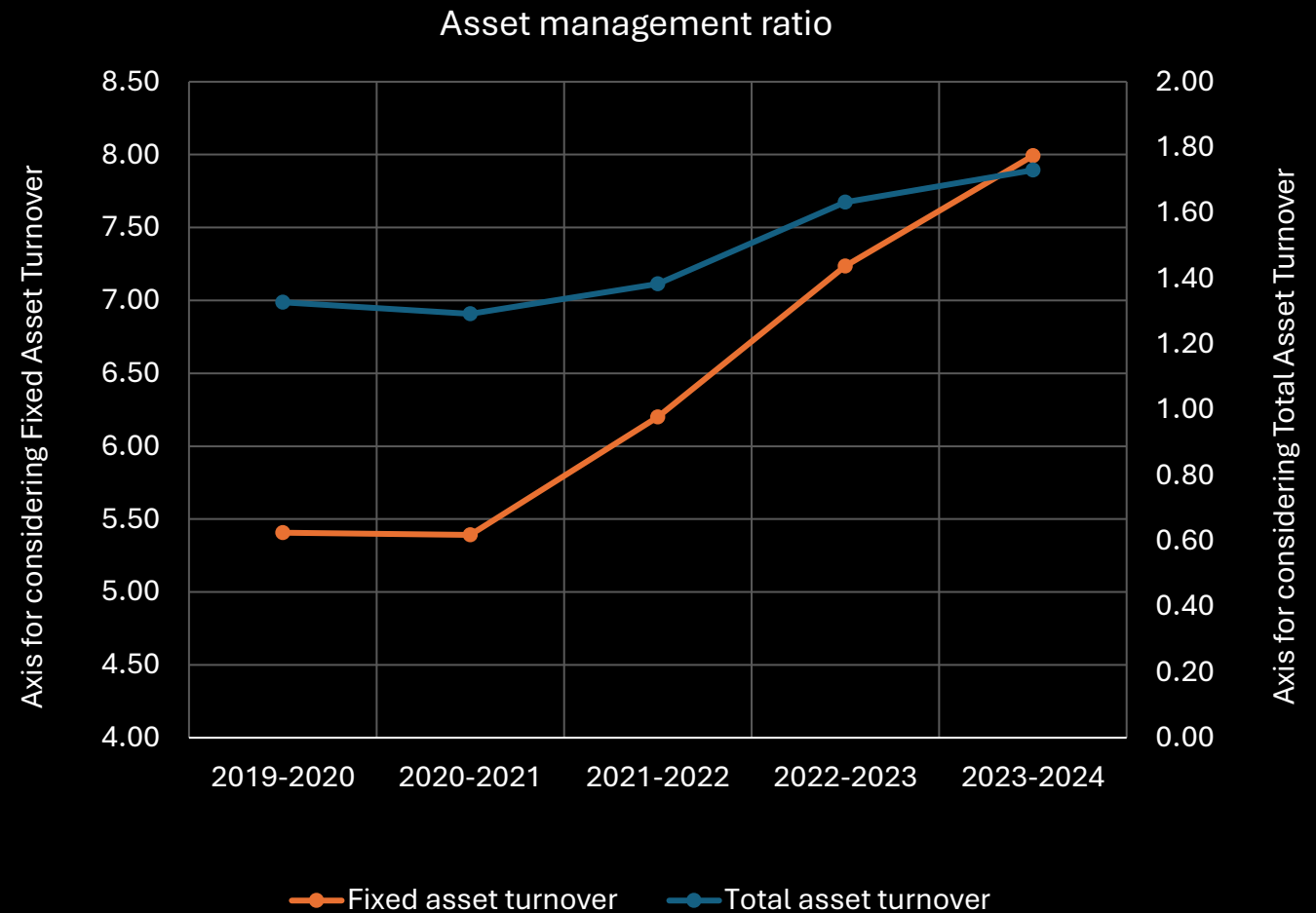
Working Capital Management Ratios (Contd.)

- The **Working Capital Cycle** measures the time (in days) between purchasing supplies/RM and receiving the cash post-sale, whereas the **Cash Conversion Cycle** measures the interval between receiving cash post-sale and paying cash post-purchase.
- The **working capital cycle** and **cash conversion cycle** showed similar trends; they decreased from FY20 to FY22, indicating improved efficiency in managing receivables and payables. The subsequent increasing trend in the cycles suggests an increase in the days of receivables compared to the days of payables.



Asset Management Ratios

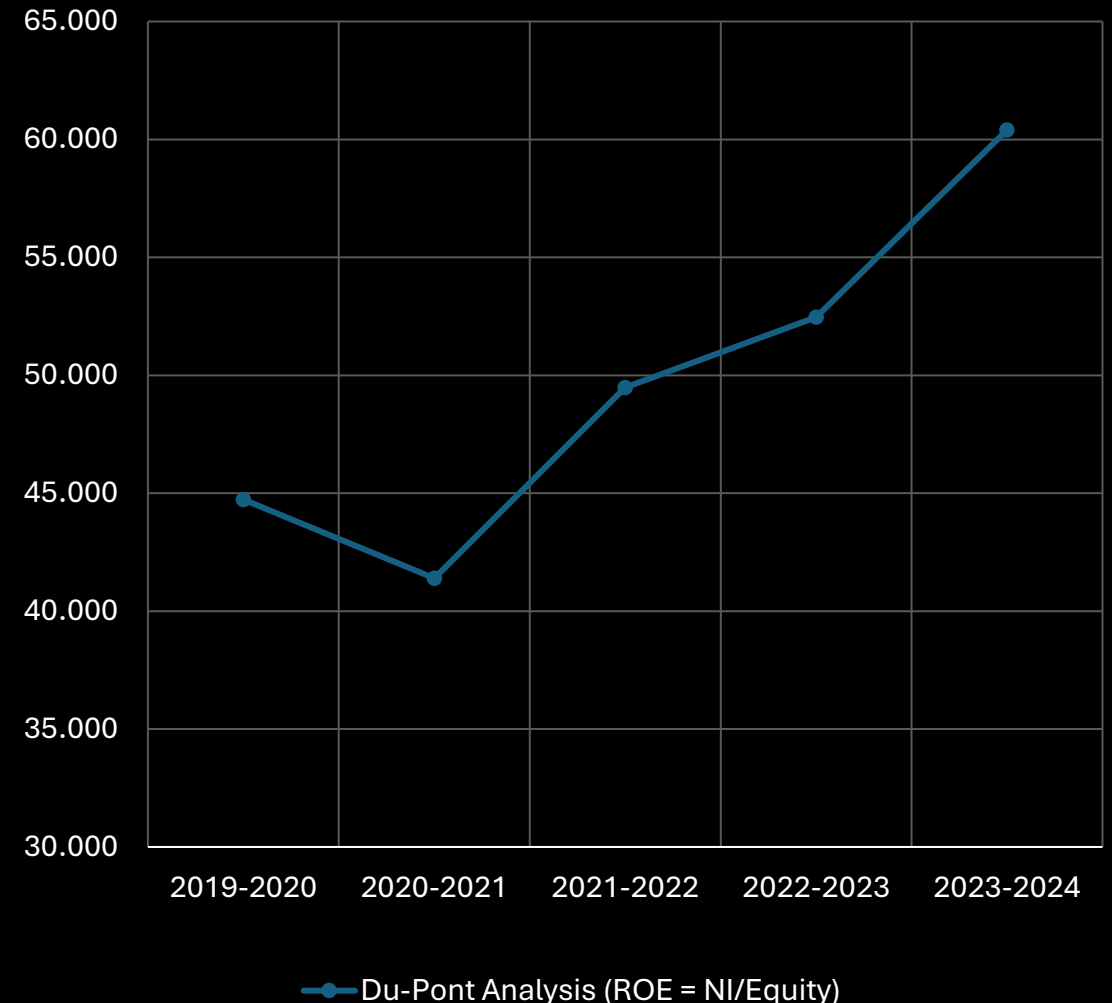
- FY20 saw a slight dip in the **Fixed Asset Turnover** and **Total Asset Turnover**, possibly due to COVID-19. In the following years, however, fixed and total asset turnover increased sharply and steadily, indicating that the company is making better use of its asset year-by-year



Du-Pont Analysis

- It is a financial tool that breaks down a company's return on equity (ROE) into its constituent parts to evaluate its profitability and operational efficiency.
- $ROE = PM \times TAT \times EM$ where Profit margin (**PM**) is a measure of the firm's operating efficiency, i.e., how well it controls costs; Total Asset Turnover (**TAT**) is a measure of the firm's asset use efficiency, i.e., how well it manages its assets; and Equity Multiplier (**EM**) is a measure of the firm's financial leverage.
- The initial decrease in the DuPont identity in FY20 shows declining profits and asset management capabilities. But it quickly rebounds and grows steadily, owing to rising profits, excellent asset management, and efficient use of leverage.

Du-Pont Analysis (ROE = NI/Equity)



Summary

- This financial analysis of TCS highlights its resilient recovery from the COVID-19 pandemic, with significant growth in revenue and profits from 2020 to 2024.
- Despite increasing debt and rising employee costs, the company maintained strong margins and effective debt management.
- Liquidity ratios showed a decline due to higher current liabilities; however, TCS efficiently utilized cash and managed working capital.
- Asset turnover improved steadily, and returns on equity and assets indicated genuine growth.
- Although rising interest payments impacted coverage ratios in FY22-23, the company leveraged debt efficiently.
- Overall, TCS showcased robust financial health, strategic adaptability, and efficient asset management.

THANK YOU !!